



TO BOOST GROWTH, THE GOVERNMENT MAY FOCUS ON INCREASING CAPEX AND BOOSTING DOMESTIC CONSUMPTION, PARTICULARLY TARGETING THE MIDDLE CLASS. THIS COULD PROVIDE A FILLIP TO STOCKS IN THOSE SECTORS

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sectors such as infrastructure, renewable energy, healthcare, and manufacturing has proved beneficial, generating positive momentum and significantly rewarding stocks in this space. For instance, the allocation to the Ministry of New and Renewable Energy surged 153% to ₹19,100 crore over the past two years, driving growth in the sector. Since the last Union Budget, the benchmark Nifty 50 rallied surged 9.2% to 23,689 with sectors such as defence, consumer durable leading with 49% and 33%, respectively, surge (*see chart*).

Against this backdrop, let's examine key sectors that are likely to gain from the upcoming Budget announcements:

INFRASTRUCTURE

In the past few Budgets, infrastructure development has been a cornerstone of India's economic strategy. The government allocated a record ₹2.55 lakh crore to the Ministry of Railways in 2024 Budget compared to ₹2.43 lakh crore in 2023. Similarly, allocation to the Ministry of Road Transport and Highways also hit an all-time high of ₹2.78 lakh crore in the Budget 2024, in contrast to less than ₹1 lakh crore in Budget 2020. The government's focus provided a fillip to stocks in these sectors. And indices like manufacturing, realty, and infrastructure increased 22%, 20%, and 8%, respectively, since the last Budget. Will this